25PR01467 Matter of Walter Benedetti and Willie Benedetti Trust

County: sonoma

Division: Probate

Hearing date: 2026-07-31

Motion: Petition to Enforce Money Judgement Against Trust Beneficiaries Arthur Benedetti and Arron Benedetti

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Matter of Walter Benedetti and Willie Benedetti Trust

25PR01467

Petition to Enforce Money Judgement Against Trust Beneficiaries Arthur Benedetti and Arron Benedetti

Tentative Ruling: The petition in this case was filed on December 17, 2025. This was prior to the creation of the Plan Recovery Trust by the Bankruptcy Court. The order approving the Third Amended Plan filed April 23, 2026, states the following:

Except as otherwise provided in the Plan or herein, from and after the Effective Date, the Plan Recovery Trust will retain all rights to institute, commence, file, pursue, prosecute, enforce, abandon, settle, compromise, release, waive, dismiss, or withdraw, as appropriate, any and all of the Causes of Action … in each case in any court … subject to the requirements set forth in the Plan and the Plan Recovery Trust Agreement.

… Upon the Effective Date, the Plan Recovery Trustee shall be automatically substituted for the Debtors, the Estates, and the KSMP Investment Entities, as the real party in interest in any and all pending actions or proceedings … without the need for further notice to or order of the Bankruptcy Court. All such substitutions shall be deemed effective by operation of the Plan, and the Plan Recovery Trustee shall have the authority to continue, prosecute, or otherwise resolve such actions in accordance with the Plan and the Plan Recovery Trust Agreement.

The Court concludes the proper petitioner in this case is therefore the Plan Recovery Trustee. It is not presently clear that the action is being prosecuted by the Plan Recovery Trustee. The Court notes that the verifications that have now been filed are signed by an individual who self-identifies as “Plan Administrator,” though no further information or explanation is provided. The only proposed order submitted directs payment to Lefever Mattson, not the Plan Recovery Trustee. The Court readily acknowledges a lack of expertise in bankruptcy law, which is one reason why it requested further information on the subject. However, the response provided seems to have raised more questions than answers. Code of Civil Procedure section 368.5 allows an action be continued in the name of the original party when there is a transfer of an interest in the action, such as to a bankruptcy trustee, or the court may allow the person to whom the transfer is made to be substituted in the action. Either way, the action does not abate. In connection with any order after hearing, the Court requests confirmation that the action is now being prosecuted by the Plan Recovery Trustee in the name of the debtor. The Court also requests clarification about to whom any payments awarded shall be made.

Turning to the merits, the Court finds the issues in dispute here can be resolved on the papers filed, the pleadings as well as the statements of issues. While the parties have narrowed the issues in dispute through their meet and confer efforts, the Court’s ruling below addresses all issues raised by the petition as a matter of completeness.

The petition is GRANTED in part and DENIED in part.

The petition is DENIED to the extent it pertains to the Walter E. and Aloha A. Benedetti Living Trust dated March 28, 2005. The debtors are not beneficiaries of Walter's Trust.

The balance of the petition is GRANTED. The amount awarded is the amount stated in the amended judgment filed March 20, 2026 under Case No. SCV270023.

(1) The spendthrift provision does not defeat the petition here. Carmack v. Reynolds (2017) 2 Cal.5th 844, 851. The petitioner has shown amounts have become due and payable by presenting Willie's Trust, which, at Article 3 and Article 6, shows that the debtor's interests are to be distributed outright and the trustee's discretion to delay distribution is limited to a six-month period after the settlor's death. More than six months have passed.

(2) California Probate Code ("Prob C") §15306.5 does not limit the amount that can be reached under Prob C §15301(b). Carmack v. Reynolds (2017) 2 Cal.5th 844, 855–857.

(3) There is no showing justifying a limitation of the amount reached pursuant to California Code of Civil Procedure §709.010(b) or Prob C §15301(b). See Blech v. Blech (2019) 38 Cal.App.5th 941, 957 ["The court could properly have considered whether Richard had sufficient funds at his disposal—beyond the annual principal distribution—to provide for his basic needs and the needs of his dependents. And if he did not, the court could have exercised its discretion to direct some portion of the principal distribution to Richard. But as Richard submitted no evidence to the court concerning his financial circumstances, the court had no basis upon which to exercise its discretion in that regard."] Prob C §15402 is also inapplicable.

(4) The Court finds that there is no basis for direct payment from the partition sale to the creditor. The funds must be transferred to the possession of the trustee first, otherwise sections 15301(b) and 709.010(b) are of no use to the creditor.

Regarding the request for costs of suit associated with the petition, they may be claimed pursuant to a memorandum of costs filed with the court and subject to a motion to tax or strike. Any request for attorney's fees must be by noticed motion and include the authority for an award, as well as support for the amount requested.

Counsel for the petitioner is directed to lodge an updated proposed order that conforms to this ruling and that addresses the issues related to the bankruptcy/real party issues discussed above.